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LEVIATHAN CORE PE HOLDCO

\$855M Tripartite Deep-Tech · Defense-Supercycle · Consumer/Value Vehicle | Anchored by Substrate, Inc.

TO	DATE
Global Investment Committee (GIC)	September 24, 2026
FROM	VEHICLE
Leviathan PE — IQT-Mirror & Supercycle Strategy	\$855M Core PE HoldCo (1 of 4 Leviathan vehicles; ~\$1.5B AUM total)
MANDATE	RECOMMENDED STRUCTURE
Approve \$855M committed across three sleeves	7-Year Hold · European whole-fund waterfall (2% / 8% pref / 20% carry)
SLEEVES	UNDERWRITE TO
IQT-Mirror \$250M · Weapons \$405M · Consumer/Value \$200M (29 positions)	Expected case — probability-weighted across 4 scenarios

§0 EXECUTIVE RECOMMENDATION

RECOMMEND APPROVAL

We recommend the Global Investment Committee approve the **Leviathan Core PE HoldCo** — an **\$855M** vehicle deployed across three bottom-up-modeled sleeves and underwritten on the **7-year hold**. The book is a deliberate barbell: two defense-supercycle sleeves (digital enablers + physical effectors) that are both structurally long the US–China AI/semiconductor race and convex to a Taiwan/TSMC contingency, plus a consumer/value ballast that is uncorrelated and carries the near-term DPI. Headline economics below are **net to LP**, **probability-weighted (Expected case)** on the recommended 7-year vehicle.

19.4%NET IRR
TO LP**3.46×**NET MOIC
TO LP**3.46×**NET DPI
(= TVPI AT EXIT)**\$2,956M**NET PROCEEDS
TO LP**1.30×**KS-PME VS
DEFENSE+SEMIS**1.89×**KS-PME VS
S&P 500

7-year vehicle, Expected (prob-weighted) net-to-LP. KS-PME > 1.00× = the HoldCo beats owning the public benchmark. Full scenario distribution and 5/10-year holds follow in §2.

THE ASK

Commit \$855M across the three sleeves at the sizing in §1; approve the 7-year hold as the primary vehicle with a \$25M IQT follow-on reserve steered pro-rata to Substrate, EUV Tech and EdgeCortex.

WHY NOW

Capture the sovereign-capital / rearmament supercycle at **private / VC-stage entry** before the public re-rate. The theme is already loudly priced into public comps (ITA +29%, SOXX +170% trailing 1-yr) — the edge is the entry point, which is why the scoreboard is KS-PME vs the ITA/SOXX basket, not vs the S&P.

DISTRIBUTION

Base 16.0% net IRR / 2.83× · Bull 28.2% / 5.69× · Bear –5.0% / 0.70× · TSMC-Shock 23.4% / 4.37× (a low-probability tail that lifts Expected by design). Bear is a capital-loss outcome — sizing, not the thesis, is the protection.

§1 HOLDCO STRUCTURE & SLEEVE SIZING

The \$855M HoldCo is a tripartite roll-up: three sub-funds, each modeled bottom-up from its individual holdings and rolled to a blended HoldCo return. All 29 positions carry four scenarios × 5/7/10-year holds through a gross-to-net waterfall and a PME comparison.

IQT-MIRROR · DEEP-TECH

\$250M · 29.2%

9 positions · longest duration

Driver: onshoring capex + Taiwan tail

Role: convex optionality / tail hedge

WEAPONS · PHYSICAL LAYER

\$405M · 47.4%

11 positions · medium duration

Driver: defense opex — budgets, conflict

Role: cash-generative supercycle core

CONSUMER / VALUE

\$200M · 23.4%

9 positions · shortest duration

Driver: consumer cycle + DTC/wellness

Role: ballast + near-term DPI engine

SLEEVE	SIZE (\$M)	% HOLDCO	# POSITIONS	RETURN DRIVER	DURATION / ROLE
IQT-Mirror (deep-tech)	250.0	29.2%	9	Onshoring capex + Taiwan tail	Longest · tail hedge
Weapons (physical layer)	405.0	47.4%	11	Defense opex — budgets, conflict	Medium · supercycle core
Consumer / Value	200.0	23.4%	9	Consumer cycle + DTC/wellness	Shortest · DPI ballast
Total HoldCo	855.0	100.0%	29	Barbell: supercycle + ballast	7-yr recommended

SLEEVE GROSS MOIC — 7-YEAR HOLD (GROSS PROCEEDS ÷ COMMITTED)

SLEEVE	BASE	BULL	BEAR	TSMC-SHOCK	EXPECTED
IQT-Mirror	3.11×	5.99×	0.40×	6.17×	3.88×
Weapons	3.38×	6.98×	1.15×	7.01×	4.49×
Consumer / Value	3.31×	7.72×	0.75×	0.35×	3.58×
HoldCo gross	3.29×	6.86×	0.84×	5.21×	4.10×

Consumer/Value is the one sleeve **hurt** in the TSMC-Shock case (import/hardware COGS exposure) — that is the intended diversification: the two supercycle sleeves are convex to the tail, Consumer is the uncorrelated ballast that carries near-term distributions.

SLEEVE NET ECONOMICS — 7-YEAR (EXPECTED, NET TO LP)

SLEEVE	NET MOIC / DPI	NET IRR	KS-PME VS SPX	KS-PME VS NDX	KS-PME VS BASKET
IQT-Mirror (\$250M)	3.27×	18.4%	1.79×	1.39×	—
Weapons (\$405M)	3.78×	20.9%	2.07×	1.61×	1.42×
Consumer / Value (\$200M)	Fee/carry charged at HoldCo level; sleeve shown gross above (7-yr Expected gross MOIC 3.58×). Net rolls into the HoldCo waterfall in §5.				
HoldCo blended (\$855M)	3.46×	19.4%	1.89×	1.47×	1.30×

Net DPI = Net MOIC because the model assumes paid-in fully drawn = committed and a single terminal exit, so RVPI = 0 and TVPI = DPI at exit. Weapons net is a pro-rata allocation of HoldCo-level carry + fees.

Read-through. Weapons is the largest sleeve and the cash-generative core; IQT-Mirror should be judged on its **marginal** contribution — convexity and a Taiwan/TSMC hedge — not on a standalone "beat the Nasdaq" test, which lives at the HoldCo level. The KS-PME vs the Defense+Semis basket is the real scoreboard: it asks whether the book captures the sovereign-capital trend earlier and cheaper than the public thematic ETFs.

§2 HOLDCO RETURNS — 7-YEAR VEHICLE (NET TO LP)

RECOMMENDED

The recommended 7-year vehicle across all four scenarios plus the probability-weighted Expected column. This is the number to underwrite to; the scenario columns show the distribution around it.

METRIC (7-YR, NET TO LP)	BASE	BULL	BEAR	TSMC-SHOCK	EXPECTED
Net IRR	16.0%	28.2%	-5.0%	23.4%	19.4%
Net MOIC	2.83x	5.69x	0.70x	4.37x	3.46x
Net DPI (= TVPI at exit)	2.83x	5.69x	0.70x	4.37x	3.46x
Net proceeds to LP (\$M)	2,421.5	4,866.5	595.3	3,734.0	2,955.7
KS-PME vs S&P 500	1.55x	3.11x	0.38x	2.39x	1.89x
KS-PME vs Nasdaq-100	1.20x	2.42x	0.30x	1.86x	1.47x
KS-PME vs Defense+Semis basket	1.06x	2.14x	0.26x	1.64x	1.30x
Direct Alpha vs basket (ann.)	+0.9%	+11.5%	-17.4%	+7.3%	+3.8%

Scenario probability weights: Base 45% · Bull 25% · Bear 15% · TSMC-Shock 15% (edited on the Defense Supercycle tab). Direct Alpha = $KS-PME^{(1/hold)} - 1$, the annualized outperformance over the benchmark.

§3 PME · DPI · MOIC — TERM-STRUCTURE DETAIL

How the headline metrics move across the 5-, 7- and 10-year holds. Longer holds compound the supercycle CAGRs into higher MOIC/DPI and PME but stretch DPI **timing**; the 7-year is the recommended balance of multiple and duration.

NET MOIC / DPI TO LP — BY HOLD (EXPECTED)

HOLD	BASE	BULL	BEAR	SHOCK	EXP.
5-Year	2.07x	3.35x	0.76x	2.64x	2.28x
7-Year	2.83x	5.69x	0.70x	4.37x	3.46x
10-Year	4.65x	13.07x	0.62x	9.85x	6.93x

Net DPI equals Net MOIC at exit (single terminal exit; RVPI = 0, TVPI = DPI).

NET IRR TO LP — BY HOLD (EXPECTED)

HOLD	BASE	BULL	BEAR	SHOCK	EXP.
5-Year	15.6%	27.3%	-5.3%	21.5%	17.9%
7-Year	16.0%	28.2%	-5.0%	23.4%	19.4%
10-Year	16.6%	29.3%	-4.6%	25.7%	21.4%

IRR is comparatively flat across holds; MOIC/DPI is where duration pays.

KS-PME VS BENCHMARKS — BY HOLD (EXPECTED, NET TO LP)

BENCHMARK (FORWARD CAGR)	5-YEAR	7-YEAR	10-YEAR	READING
S&P 500 (9.0%)	1.48x	1.89x	2.93x	Beats broad market at every hold
Nasdaq-100 (13.0%)	1.24x	1.47x	2.04x	Beats large-cap tech at every hold
Defense+Semis basket (15.0% fwd)	1.13x	1.30x	1.71x	Beats owning ITA/SOXX — the real test

KS-PME method: single terminal exit, so KS-PME = Net MOIC ÷ index total-return multiple over the hold. Basket = 50/50 ITA/SOXX blend, tempered to 15% forward (trailing 5-yr ~26%, inflated by the AI + rearmament run). >1.00x means the HoldCo delivers the theme more efficiently than the public ETFs.

§4 SLEEVE HOLDINGS — POSITIONS, MARKS & 7-YEAR BASE MOIC

IQT-MIRROR SLEEVE — \$250M · 9 POSITIONS (MIRRORS IN-Q-TEL / CIA VENTURE ARM)

COMPANY	CHECK (\$M)	OWN %	ENTRY POST (\$M)	COMPOSITE	7-YR BASE MOIC	ROLE / FLAG
Substrate (anchor)	80.0	7.6%	1,050	4.85	3.14×	Anchor — sovereign X-ray litho
EUV Tech	30.0	16.7%	180	4.55	1.95×	At-wavelength EUV metrology
ThinTronics	22.5	18.8%	120	4.45	3.93×	ABF-substrate; \$50M CHIPS LOI
EdgeCortex	30.5	8.7%	350	2.80	3.52×	Edge-AI; Japan / CFIUS flag
Syntiant	31.5	4.5%	700	3.25	2.20×	Pre-IPO edge inference (SYTN)
Infleqtion	25.0	0.8%	3,000	3.40	2.07×	Public (NYSE:INFQ) quantum
Diraq	14.0	9.3%	150	3.55	4.89×	Silicon spin qubits; AUS/allied
Mueon	10.0	15.4%	65	3.45	5.45×	Seed — advanced packaging
DefendEye	6.5	13.0%	50	1.70	4.39×	Seed — Blue UAS provenance work
Sleeve total	250.0	—	—	3.56	3.11×	7-yr gross MOIC (Base)

WEAPONS SLEEVE — \$405M · 11 POSITIONS (PHYSICAL-LAYER DEFENSE; MUNITIONS/FMS OVERLAY)

COMPANY	CHECK (\$M)	OWN %	ENTRY POST (\$M)	7-YR BASE MOIC	ACCESS / STRUCTURE FLAG
Saronic	70.0	0.8%	9,250	4.75×	US clean; naval autonomy (Series D)
Epirus	45.0	3.3%	1,350	4.32×	US clean; directed energy / HPM
Israel Aerospace Ind.	40.0	0.3%	16,000	3.06×	IPO attempt H2-26; cornerstone
Elta Systems	30.0	1.0%	3,000	2.72×	IAI subsidiary; EW/ISR
Heckler & Koch	35.0	1.9%	1,800	2.14×	Listed; closely held — block/secondary
Helicon Chemical	40.0	26.7%	150	5.52×	US clean; energetics — real stake
The Ellwood Group	50.0	4.2%	1,200	2.38×	Family-owned; missile-casing forgings
Superior & Grand Valley	31.0	7.8%	400	2.38×	Private forger — mark unverified
Applied Research Assoc.	40.0	3.3%	1,200	2.38×	Employee-owned ESOP — structural
Faxon Machining	9.0	9.8%	92	2.63×	Warhead-case machining (MOP/NGP/TLAM)
L3Harris Missile Solutions	15.0	0.1%	10,731	2.14×	Pre-IPO (Q1-27); #2 US SRM maker
Sleeve total	405.0	—	—	3.38×	7-yr gross MOIC (Base)

Weapons carries the munitions/FMS overlay; adjusted CAGR = input CAGR + exposure score (avg of munitions-shortage and FMS-backlog scores, 0–5) × uplift per point. Faxon and L3Harris MSL are program-level builds (BLU-136/B, GBU-57 MOP, NGP, TLAM; and PAC-3/THAAD/SM/GMLRS-PrSM/hypersonics SRM) feeding implied CAGRs into the sleeve.

§4 (CONT.) SLEEVE HOLDINGS — CONSUMER / VALUE

CONSUMER / VALUE SLEEVE — \$200M · 9 POSITIONS (SPENDING-CYCLE / DTC-VALUE BALLAST)

COMPANY	CHECK (\$M)	OWN %	ENTRY POST (\$M)	7-YR BASE MOIC	MARK QUALITY / CHANNEL
Quince	35.0	0.3%	10,100	4.73×	Confirmed Series E Mar-26 (M2C)
Whoop	31.5	0.3%	10,100	4.48×	Confirmed Series G Mar-26; IPO-track
The Farmer's Dog	24.5	0.7%	3,760	3.38×	Market-priced (Forge); Walmart.com
Made In Cookware	17.5	6.3%	280	2.10×	Estimate — no secondary market
Thrive Market	14.0	1.5%	945	1.35×	Market-priced (Forge); multiple compression
Plunge	7.0	6.4%	110	3.01×	Estimate — no priced VC round
Polymarket	10.5	0.1%	18,000	4.01×	Market-priced range; US-regulated / ICE
Goat Group	15.0	0.4%	3,730	2.23×	Stale Series F (Jun-21) — re-underwrite
Stripe	45.0	0.03%	159,000	2.68×	Market-priced (Feb-26 tender); most liquid
Sleeve total	200.0	—	—	3.31×	7-yr gross MOIC (Base)

Proceeds = Check × (1 + CAGR)^{Hold} × Retention (IQT 0.78 / Weapons 0.88 / Consumer 0.84 at 7-yr, net of the follow-on-reserve dilution). Six of nine IQT marks and most Weapons/Consumer estimate marks require primary cap-table confirmation before the IC vote.

DATA-CONFIDENCE TIERING — CONSUMER MARKS

MARKET-PRICED

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Stripe (Feb-26 tender, \$159B — most liquid), Quince & Whoop (confirmed Mar-26 primaries, \$10.1B), The Farmer's Dog & Thrive Market (live Forge secondary quotes). Highest-confidence marks.

RANGE / DIRECTIONAL

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Polymarket (~\$14–21B secondary range; mid used) and The Farmer's Dog's Walmart.com upside catalyst. Priced, but wider bands around the point estimate.

ESTIMATE — RE-UNDERWRITE

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Made In (~\$8.3M ever raised, no secondary), Plunge (~\$4.75M raised, no priced round), Goat Group (stale Jun-21 Series F, no live quote). First checks to re-diligence.

Bear vs. Shock differ by name, not by one sleeve-wide spread. Staple/subscription names (Farmer's Dog, Thrive Market) see the TSMC-Shock milder than Bear — food/grocery spend is defensive and trade-down partially offsets inflation. Import- or hardware-exposed names (Quince's direct-factory M2C sourcing, Whoop's chip-dependent hardware, Made In's imported inputs, Plunge's hardware BOM, Goat's cross-border resale logistics) see Shock **worse** than Bear — a decoupling scenario hits COGS and supply chains directly, on top of softer discretionary demand. Stripe (fee-based payments infra, not import-exposed) skews milder. This is why Consumer is the one sleeve that detracts in the TSMC-Shock case and, by design, the uncorrelated ballast that carries near-term DPI in the base and bull paths.

§5 FUND ECONOMICS — GROSS-TO-NET WATERFALL (7-YEAR)

Whole-fund European waterfall: return of capital, then 8% compounded preferred, then 20% carry (no GP catch-up modeled), then 2%/yr management fee on committed. Expected = probability-weighted.

LINE ITEM (\$M) — 7-YEAR VEHICLE	BASE	BULL	BEAR	TSMC-SHOCK	EXPECTED
HoldCo gross proceeds	2,810.1	5,866.5	715.0	4,450.7	3,506.0
(–) Return of capital	–855.0	–855.0	–855.0	–855.0	–855.0
(–) Preferred (8% comp.)	–610.3	–610.3	–610.3	–610.3	–610.3
Profit above pref (carry base)	1,344.8	4,401.2	0.0	2,985.4	2,153.3
(–) Carry (20%)	–269.0	–880.2	0.0	–597.1	–430.7
(–) Mgmt fees (2%/yr)	–119.7	–119.7	–119.7	–119.7	–119.7
Net proceeds to LP	2,421.5	4,866.5	595.3	3,734.0	2,955.7
Net MOIC / DPI	2.83×	5.69×	0.70×	4.37×	3.46×
Net IRR	16.0%	28.2%	–5.0%	23.4%	19.4%

In Bear, gross proceeds do not clear the return-of-capital + preferred hurdle, so carry is zero and the LP bears the shortfall — the downside is carried by the IQT seed names and Consumer, and is a sizing outcome, not a thesis break.

§6 SCENARIO DESIGN & TSMC-SHOCK CONVEXITY

SCENARIO PROBABILITY WEIGHTS

SCENARIO	WEIGHT	DESCRIPTION
Base	45%	Supercycle continues; orderly exits
Bull	25%	Accelerated rearmament + AI capex
Bear	15%	Budget/exit-window contraction
TSMC-Shock	15%	Taiwan contingency / TSMC loss TAIL

HOLDCO 7-YR NET IRR VS SHOCK PROBABILITY

SHOCK PROB.	7-YR NET IRR
0% (excluded)	18.6%
10%	19.1%
15% (current)	19.4%
25%	19.9%
40%	20.7%

The thesis engine. Every name is scored on five strategic axes — China AI/semi-race criticality (25%), Taiwan/TSMC-insulation value (30%), government/defense embeddedness (15%), CFIUS-clean US-sovereignty (15%), and supply-chain chokepoint leverage (15%). The composite drives each name's re-rating in the TSMC-Shock case (CAGR uplift = (composite – 2.5 pivot) × 8%/point). The book is **intentionally overweight** the US sovereign-chokepoint core (Substrate 4.85, EUV Tech 4.55, ThinTronics 4.45), so a tail event that would hurt a generic tech portfolio is where this one is most convex. That asymmetry is the thesis — keep the 15% weight honest; the tail is a source of convexity, not a base case.

Macro backdrop. NATO's 5%-of-GDP pledge (Hague, Jun-25) is a structural decade-long step-up; EU allies raised defense spend ~20% in 2025 alone. Munitions/energetics replenishment, naval autonomy (Replicator) and counter-drone are the fastest-growing demand pools — directly the Weapons sleeve. A rising US classified/black budget (~\$170–215B FY26; IC +14.2% YoY) is a second, independent tailwind on the IQT-Mirror sleeve, since In-Q-Tel is funded within the intelligence budget.

§7 KEY RISKS, DILIGENCE CONDITIONS & CAVEATS

- **Bear is a capital-loss outcome** (net MOIC < 1.0× at every hold; -5.0% net IRR / 0.70× at 7-yr). The downside is concentrated in the IQT seed names and Consumer; position sizing, not the thesis, is the protection.
- **Mark quality is tiered.** Six of nine IQT entry valuations are estimates; most Weapons marks are estimates or access-constrained; in Consumer, Made In, Plunge and Goat Group are unpriced/stale marks. Confirm via primary cap-table access before deploying — these are the first names to re-underwrite.
- **Domicile / CFIUS.** EdgeCortex (Japan) and Diraq (Australia) are allied-nation, minority-only; DefendEye (EU cap table + Kraków mfg) needs Blue UAS / NDAA provenance work. The four US semis names are the CFIUS-clean sovereign core.
- **Access & structure.** Several Weapons names are hard to access (family-owned Ellwood; ESOP-owned ARA; pre-IPO L3Harris MSL / IAI IPO windows). Entry route (primary vs. secondary vs. IPO allocation) is a live diligence item per name.
- **Rate path drives exit timing.** A higher-for-longer regime compresses IQT terminal multiples and delays exits, lengthening duration and deferring DPI timing — the single biggest swing on realized IRR.
- **TSMC-Shock probability is a judgment lever.** Its high CAGRs compounded over 10 years produce very large multiples by design; the point is convexity to a decoupling/Taiwan event, not a base case. Strategic axis scores are levers grounded in the research brief, not facts — stress them.
- **Model simplifications.** Whole-fund European waterfall with no GP catch-up; single terminal exit (so DPI = MOIC = TVPI, RVPI = 0). This is an internal IC planning model, not investment advice.

§8 RECOMMENDATION & GOVERNANCE SIGN-OFF

Recommendation: Approve the \$855M Core PE HoldCo on the **7-year vehicle**, base sizing, with a \$25M IQT follow-on reserve steered to Substrate + EUV Tech + EdgeCortex pro-rata. Underwrite to the Expected case: **19.4% net IRR / 3.46× net MOIC / 3.46× net DPI**, KS-PME 1.30× vs the Defense+Semis basket and 1.89× vs the S&P 500. Deployment is conditioned on primary-source confirmation of the flagged estimate marks and completion of CFIUS/provenance diligence on the allied-nation and foreign-nexus names.

SUBMITTED BY — LEAD PM, DEEP-TECH & SUPERCYCLE

Signature / Date

CHIEF RISK OFFICER (CRO)

[Sizing & downside reviewed]

HEAD OF PRIVATE INVESTMENTS

[Structuring & waterfall vetted]

GIC DECISION

[Approval — subject to diligence conditions]

Benchmarks & sources. Forward CAGRs: S&P 500 9.0%, Nasdaq-100 13.0%, Defense+Semis (50/50 ITA/SOXX) 15.0% forward (trailing 5-yr ~26%, inflated by the AI + rearmament run). Public/private comps grounded to iShares ITA/SOXX fact sheets (Jun-30-2026), multiples.vc, Macrotrends, Sacra (Saronic \$9.25B, Anduril \$61B), NATO/Atlantic Council (Hague 5% pledge), and the uploaded black-budget compilation (Sep-2026). China budget & "Davidson window" are widely-cited pre-cutoff figures — confirm current. All figures USD millions unless noted. This memorandum is an internal IC planning document derived live from the Leviathan PE HoldCo model (IC / HoldCo Summary / Fund Economics / PME-DPI-Sensitivity tabs) and is not investment advice or an offer to sell securities.